

Investment Memo: Setu Pay

Summary

Setu Pay is a payments infrastructure company enabling cross-border B2B transactions between US and Indian companies, cutting settlement time from 5-7 days to under 24 hours. Founders are two ex-PayPal engineers, one based in Bangalore and one in New York -- a clean US-India corridor team.

Traction

12 paying customers as of this memo, \$45,000 USD in monthly recurring revenue, growing roughly 20% month over month for the last three months. Customers are mid-size Indian IT services firms billing US clients.

Team

8 people total, 5 in Bangalore, 3 in New York. Both founders have 5+ years of payments infrastructure experience at PayPal, including work on cross-border settlement rails.

Market

Cross-border B2B payments between the US and India are estimated at roughly \$30B annually in services-sector invoicing alone, with settlement delay and FX friction as the primary complaints from mid-size firms on both sides.

Risks

Regulatory complexity operating across two jurisdictions' payment licensing regimes, competitive pressure from larger payment processors entering the corridor, and a long enterprise sales cycle typical of fintech infrastructure deals.

Recommendation

Worth a founder call given the strong payments-infra team background, believable early enterprise traction, and clear US-India corridor fit. Key open question: regulatory licensing status in both jurisdictions.